

Day 4 Internship Notes

Date: 04-06-2026

Work Start time

9:00am

Today's Objective

- Understand Trend Direction in detail.
- Study the RSI (Relative Strength Index) Indicator.
- Learn how to use DeepVue for Stage Analysis.
- Understand how to screen stocks using Stan Weinstein's methodology.

Topics learned Today:

Topic 1: Trend Direction:

Trend direction represents the overall movement of a stock's price over time. Understanding trend direction helps traders align their trades with market momentum instead of trading against it.

Types of Trends:

1. Uptrend

An uptrend is formed when price creates:

- Higher Highs (HH)
- Higher Lows (HL)

This indicates strong buyer control and positive market sentiment.

2. Downtrend

A downtrend is formed when price creates:

- Lower Highs (LH)
- Lower Lows (LL)

This indicates strong seller control and negative market sentiment.

3. Sideways Trend

A sideways trend occurs when price moves within a range without making significant higher highs or lower lows.

Importance of Trend Direction:

- Helps identify market bias.
- Improves trade selection.
- Prevents trading against momentum.
- Supports better risk management.

Topic 2: Volume Analysis:

Volume represents the number of shares traded during a specific period.

Volume is one of the most important confirmation tools in technical analysis because it shows the level of participation behind a price movement.

1. High Volume:

High volume indicates:

- Strong buying or selling activity.
- Increased trader participation.
- Stronger conviction behind the move.

2. Low Volume:

Low volume indicates:

- Weak participation.
- Reduced conviction.
- Less reliable price movement.

3. Volume During Breakouts:

When a stock breaks a support or resistance level with high volume, the breakout becomes more reliable.

Volume helps traders differentiate between genuine breakouts and false breakouts.

Key Observations:

- Rising price with rising volume indicates strength.
- Falling price with rising volume indicates strong selling pressure.
- Rising price with low volume may indicate weakness.

Topic 3: RSI Indicator (Relative Strength Index):

RSI is a momentum indicator used to measure the speed and strength of price movements.

The RSI value ranges from 0 to 100.

1. Overbought Zone:

RSI above 70 suggests that a stock may be overbought and could experience a pullback.

2. Oversold Zone:

RSI below 30 suggests that a stock may be oversold and could experience a bounce.

3. Uses of RSI:

- Identify momentum.
- Spot potential reversals.
- Confirm trend strength.
- Detect overbought and oversold conditions.

RSI should not be used alone. It works best when combined with trend analysis, support and resistance, and volume confirmation.

Topic 4: DeepVue Tutorial: Screening Like Stan Weinstein:

Today I learned how DeepVue can be used to screen stocks based on Stan Weinstein's market methodology.

Key Learnings:

How to find strong stocks.

How to identify stocks in bullish stages.

How to filter stocks using trend and momentum criteria.

How to focus on stocks showing institutional strength.

Benefits:

Faster stock screening.

Better market focus.

Improved stock selection process.

Topic 5: DeepVue Tutorial: Stage Analysis

Stage Analysis is a method used to classify stocks based on their market cycle.

Stage 1 – Accumulation

- Sideways movement.
- Institutions begin accumulating positions

Stage 2 – Uptrend

- Strong price appreciation.
- Rising moving averages.
- Increased volume.

Stage 3 – Distribution

- Price begins losing momentum.
- Institutional selling may begin.

Stage 4 – Downtrend

- Price declines.
- Lower highs and lower lows develop.

Objective

The primary goal is to identify Stage 2 stocks because they often provide the strongest trading opportunities.

Stage Analysis provides a structured framework for understanding the lifecycle of a stock. Instead of buying stocks randomly, traders can use this methodology to determine whether a stock is being accumulated, trending higher, distributing, or declining. By identifying the current stage, traders can align their strategies with market conditions and improve decision-making. The concept emphasizes trading with the trend rather than against it, helping traders focus on stocks that have the highest probability of success.

Practice:

Chart Analysis

Stocks Observed:

- 1.NVDA
- 2.TSLA

Analysis Performed:

- Trend Direction
- Volume Analysis
- RSI Observation
- Support and Resistance Review





DeepVue Practice – AMD Stock Analysis:

During today's DeepVue practice session, I applied the concepts of Stage Analysis and Stan Weinstein's stock screening methodology using AMD (Advanced Micro Devices Inc.) as a case study. After analyzing the chart, I observed that AMD is currently exhibiting characteristics of a strong Stage 2 uptrend. The stock is trading well above its 50-day, 150-day, and 200-day Simple Moving Averages, and all three moving averages are sloping upward, indicating strong bullish momentum and a healthy long-term trend. The price action shows a consistent pattern of higher highs and higher lows, which further confirms the strength of the uptrend.

Using DeepVue's screening tools, I observed that AMD demonstrated strong relative strength compared to the broader market. The stock has experienced significant price appreciation over recent months, accompanied by sustained momentum and increasing investor interest. The alignment of the major moving averages, combined with strong price action, suggests that institutional investors may be actively participating in the stock. These characteristics align closely with Stan Weinstein's criteria for identifying leading stocks in Stage 2 of their market cycle.

This practical exercise helped me understand how DeepVue can be used to quickly identify strong stocks, evaluate trend strength, and analyze market leadership. By combining Stage Analysis, moving average alignment, and relative strength observations, I gained a better understanding of how professional traders screen for high-probability trading opportunities. The practice also reinforced the importance of trading in the direction of the prevailing trend and focusing on stocks that demonstrate sustained strength and momentum.

Questions I Had and Answers I got :

1. Why is trend direction important before entering a trade?

Trend direction helps traders trade with momentum rather than against market movement.

2. Why should volume be used alongside price action?

Volume confirms the strength and reliability of price movement.

3. Can RSI alone be used for trading decisions?

No. RSI should be combined with trend analysis, support and resistance, and volume confirmation.

Key Takeaways From Day 4

- Trend direction is the foundation of technical analysis.
- Volume confirms the strength of market movements.
- RSI helps measure momentum and identify potential reversals.
- Stage Analysis provides a structured framework for understanding market cycles.
- DeepVue screeners can be used to identify high-quality trading opportunities.

Conclusion

Day 4 focused on strengthening the understanding of trend analysis, volume interpretation, and momentum indicators through RSI. In addition, DeepVue tutorials introduced stock screening techniques based on Stan Weinstein's methodology and Stage Analysis concepts. The combination of technical analysis and DeepVue tools improved the ability to identify strong stocks, understand market structure, and analyze trading opportunities more effectively.